pandemic, schools and shops opened and travel resumed, online businesses too saw a corresponding dip.

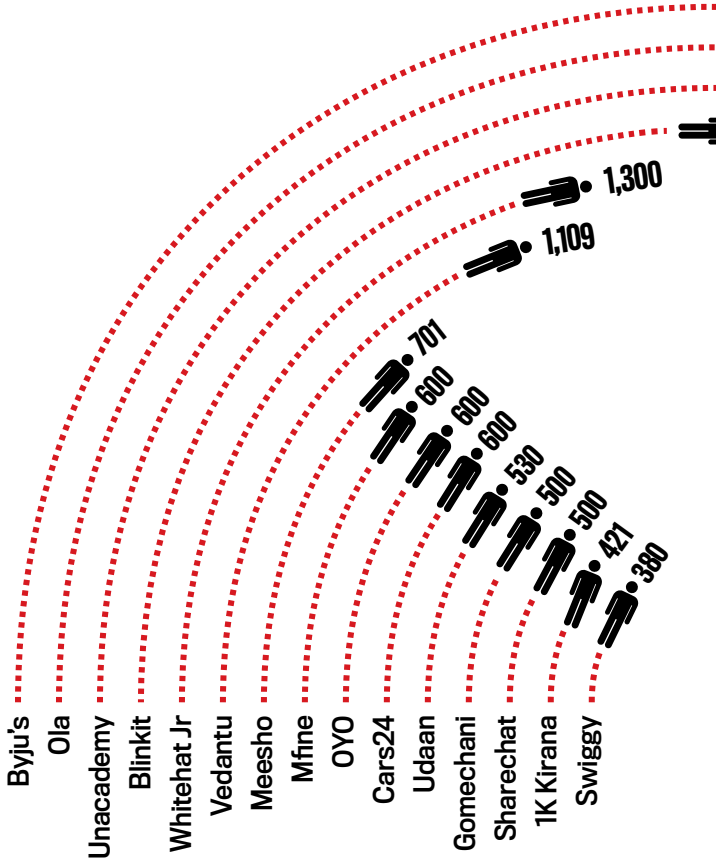
The troubles with Byju's have been of particular concern. The edtech firm delayed filing its audited financials for FY21 and FY22. The 2020-21 numbers, when they eventually came out, revealed losses of Rs 4,588 crore, up from just Rs 262 crore the previous fiscal. Revenues for FY21 stood at Rs 2,280 crore. The company has yet to file its 2021-22 results, although media reports say the firm has clocked Rs 10,000 crore in revenues for the fiscal. In the past year, Byju's, whose learning programmes reach 150 million students across the world, with 7 million annual paid subscriptions, has been going through a rough patch with layoffs and an inquiry under the Foreign Exchange Management Act (FEMA) over foreign funding. The Enforcement Directorate had searched several premises linked to the firm in April.

Byju's also missed its quarterly interest payment of around $40 million (Rs 248 crore) on a loan it had taken in November 2021. The interest payment on the Term Loan B or TLB (a debt instrument that allows a firm to repay creditors in a flexible fashion) was due on June 5, but Byju's skipped paying it as it is locked in a court battle with the lenders. The start-up, promoted by Byju Raveendran and his wife Divya Gokulnath, has sued Redwood, a US investment firm, who, contrary to the conditions of the loan facility, reportedly bought a significant portion of it while primarily trading in distressed debt. In a statement, Byju's said that its "disagreement with the lenders does not pose any significant impact on its operations". But in yet another blow, in late June, Deloitte Haskins & Sells resigned as Byju's auditor citing its delays in submitting financial documents. Soon after, three board members too quit over reported quibbles with the founder—G.V. Ravishankar of Peak XV Partners (Sequoia Capital India and SEA), Vivian Wu of Chan Zuckerberg Initiative and Russel Dreisenstock of Prosus.

In an e-mail response, a Byju's spokesperson told INDIA TODAY that the company is in the process of reconstituting its board. A few investors had to vacate board seats due to their shareholding falling below a minimum required threshold, the representative said. In a recent town hall speech, Raveendran emphasised that edtech is not a 'pandemic phenomenon' but a permanent fixture in education. Byju's long-standing presence in the space, along with the development of advanced AI-based educational tools like Byju's Wiz, positions the company strongly in this evolving landscape, he maintained.

BLOATED VALUATIONS

"The full VC-funded asset class has come under question," says Nandwani. "It takes 8-10 years to build any business in India. You cannot build a billion-dollar company in two years." But that is exactly was happening in the start-up world, where valuations were driving everything. And these valuations, in turn, were ascribed by the investors who were



DURING THE BOOM DAYS, INVESTORS WERE LAVISHING FUNDS ON FIRMS, BETTING ON SECTORS WITHOUT DUE DILIGENCE. NOT ANY MORE

funding these companies. "You are just out of IIT, someone gives you $100 million and says you are worth $1 billion, that's a joke," says Nandwani. "When you overvalue a firm, you are making it harder for it to raise money from the next investor at the same valuation. Growth suffers then. Overvaluations kill businesses and this is what V-Cs have done. They never had their own money in the game and misgovernance and mis-compliances followed."

Meanwhile, most unicorns continue to post heavy losses and some of the listed companies have suffered heavily on the stock exchanges. Start-ups such as Paytm, Policy Bazaar and Nykaa, which went public in 2021, saw share prices fall way below their listing price, wiping out millions of dollars of investors' wealth (see *How the Stocks Are Faring*). In 2022,